BU419 Case 03

Group 12

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Q1.

- Internal Risks
  - Problems with internal control and corporate governance.
- External Corporate Risks
  - Financial risks from the parent company, other subsidies, reinsurers, other related parties (e.g. customers, suppliers, regulators).
  - Such risks could contagion effect and cripple a well-run insurance company.
- Systematic Risks
  - Pandemics, regulatory negligence, global economic downturns, natural disasters.

Q2.

- Climate Change, where climate change causes more wildfires in the fall and winter seasons in California.
- External corporate risk from Pacific Gas & Electric company whose infrastructure is aged.
- Regulatory negligence, where the local government failed to install a fire alarm system that could reach residents with clear evacuation orders.
- Also, the insurance regulator did not impose any statutory reinsurance requirements, which could result in small insurers not having sufficient incentive to divert its risks.

Q3.

	2017 ($000s)	2016 ($000s)
NPW	6,073	4,903

	2017 ($000s)	2016 ($000s)
GPW	7,071	5,757
Surplus	16,832	17,526

	2017 (%)	2016 (%)
NPW to Surplus	36.08	27.98
GPW to Surplus	42.01	32.85

Overall, the ratio is quite low, which means Merced's underwriting capacity is sufficient before the camp fire.

Q4.

	2017 ($)	2016 ($)
Reinsurance Recoverables	747,831	887,765
Capital & Surplus	17,526,277	16,831,544
Reinsurance Recoverables / C&S (%)	5.07%	4.44%

	2017 ($000s)	2016 ($000s)
Ceded Premium Written	74.85	104.10
Direct Premium Written	6,782.00	5,477.00
Reinsurance Utilization (%)	14.72	15.58

- Merced may not have had sufficient reinsurance coverage. It failed to recognize the growing risk and update its reinsurance programs accordingly.
- Merced had the lowest reinsurance recoverables - C&S ratio. Other insurers owned by the same parent had ratios that were twice that of Merced.
- A study of all P&C insurers between 1992 and 2001 showed average reinsurance utilization $>$ 30%. This ratio was expected to increase as insurers faced growing climate risks.

Q5.

- Need to monitor risks in response to changes in frequency and severity.
- Pay attention to particular hazards that were tied to certain geographical locations.
- Examine concentration of business.
- Examples:
    - Insurers providing home insurance in Cali should update risk models for wildfires.
    - Those providing home & auto insurers in Alberta should update models for climate-related hazards and modify pricing regulations accordingly to attract more participants.

Q6.

- Claims payments were slow and inefficient.
- Could develop InsurTech and parametric insurance in expedite payments.
    - Parametric insurance pays a pre-determined amount when a specific event occurs, rather than covering the exact cost of physical damage.
    - Eg: damage caused by wind $\geq$ 100 km/h
